

Canara Bank

Investment Rating : Average

Company Overview

Website	http://www.canarabank.com/
Sector	nan
Market Cap	496,415.88 Cr
PE Ratio	36.74
PB Ratio	12.61
Dividend Yield	3.81 %

Financial Quality

ROE	17.9
ROCE	6.63
CFO Quality	High Quality
FCF CAGR	5.25%
Capital Pattern	Excellent

Capital Allocation

Capital Score	63.0
Reinvestment	Low Reinvestment
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

Canara Bank was merged with erstwhile Syndicate Bank in FY21. Canara was incorporated in 1906 and nationalised in 1969, along with 13 other major commercial banks of India, by the Gol. The bank is headquartered in Bangalore.

Strengths

Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
Return on equity improving for 3 consecutive years shows strengthening business quality.

Risks

Debt-to-equity ratio of 14.87 is elevated for a non-financial company and warrants monitoring.
Operating margins declining for 3 consecutive years suggest pricing or cost pressure.

Rising debt over the past 3 years suggests increasing financial leverage risk.
Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.
Net debt exceeding three times operating profit indicates elevated financial leverage.